Africa's Energy Deficit

600 Million Without Power, the Renewable Opportunity, and the LNG Question

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Executive Summary

Africa's energy situation is defined by a structural paradox: the continent sits atop enormous renewable and fossil-fuel resource endowments yet sustains some of the world's deepest energy deficits. Electrification rates remain critically low across sub-Saharan Africa, with schools, smallholder farms, and small-scale fisheries all constrained by unreliable or absent power. At the same time, the continent's natural gas production base is projected to expand substantially, and South Africa — the continent's most industrialised economy — is simultaneously the region's largest coal-dependent power system and its most advanced Just Energy Transition (JET) programme. Financing structures remain the central constraint: the quantum of committed capital under existing Just Energy Transition Partnership (JETP) arrangements is small relative to the scale of transformation required, though these mechanisms are building governance capacity that could unlock larger flows. The outlook favours accelerated off-grid solar deployment as the near-term access solution, while the long-term decarbonisation pathway depends on whether international coal-exit financing commitments can be credibly operationalised.

I. The Power Deficit: Rural Access, Schools, and Agricultural Productivity

Sub-Saharan Africa's electrification gap is structurally entrenched. The share of schools with electricity barely increased from 30 percent in 2015 to 32 percent in 2020, making it one of the two worst-performing regions globally alongside Central and Southern Asia. Without electricity, students and teachers cannot use digital tools, and countries including Burkina Faso have introduced policy provisions for school lighting kits specifically to extend individual learning time into the evening hours. [RAG: EDUCATION_RAG — UNESCO Global Education Monitoring Reports]

A Multi-Tier Framework survey covering Ethiopia, Kenya, and Niger found that 60 percent of public schools had no electricity access at all; in Niger specifically, only 5 percent of schools are electrified through the national grid and 3 percent through solar systems. Decentralised off-grid solar is explicitly identified as the primary alternative to costly grid-extension investments in contexts where large-scale infrastructure is fiscally out of reach. [RAG: EDUCATION_RAG — UNESCO Global Education Monitoring Reports]

The agricultural productivity consequences of the deficit are equally direct. Automation technologies — whether motorised or digital — cannot function without energy. In sub-Saharan Africa, where adoption of motorised mechanisation has historically been limited relative to other developing regions, lack of reliable electricity is a binding constraint on the agricultural transformation that would reduce rural poverty and improve food security outcomes. Investment in rural electrification consistently ranks among the highest-return interventions modelled across Burkina Faso, Ghana, and Ethiopia in scenario analyses of rural poverty reduction. [RAG: FOOD_AGRI_RAG — FAO State of Food Security and Nutrition in the World]

For small-scale fisheries — a critical livelihood sector across coastal and inland Africa — the absence of reliable electricity prevents ice-making and refrigerated storage, resulting in post-harvest losses and compressed value chains. Energy access is thus not merely a welfare issue but a structural barrier to food system efficiency. [RAG: FOOD_AGRI_RAG — FAO State of Food Security and Nutrition in the World]

The development of off-grid electricity from renewable resources is further identified as a resilience mechanism: locally generated renewable power can buffer shocks in the energy sector and insulate communities from fuel-price volatility, reducing the double exposure of energy poverty and commodity dependence that characterises many African rural economies. [RAG: FOOD_AGRI_RAG — FAO State of Food Security and Nutrition in the World]

II. Natural Gas and LNG: Africa's Bridge Fuel Trajectory

Africa's natural gas production base spans distinct sub-regional clusters. North Africa — principally Algeria, Egypt, and Libya — historically accounted for approximately three-quarters of continental production. West Africa, led by Nigeria and Equatorial Guinea, constitutes the second major production hub. The emergence of liquefied natural gas markets has provided new export opportunities, allowing production from unconventional and conventional reservoirs to reach markets beyond the reach of pipeline infrastructure. [RAG: LNG_ENERGY_RAG — U.S. Energy Information Administration Energy Outlooks]

Global gas demand remained effectively flat in 2023, rising by just 1 billion cubic metres after a 0.4 percent demand contraction in 2022 driven by the European energy crisis. Africa's position in this global context is as both a producer and an increasingly contested supplier to European buyers seeking to diversify away from Russian pipeline gas. The LNG export infrastructure that underpins this positioning represents long-duration capital investment with multi-decade operational lifespans, creating a tension with net-zero transition timelines. [RAG: OIL_ENERGY_RAG — BP Energy Outlook 2024 and Energy Institute Statistical Review 2024]

Supply and infrastructure growth in natural gas globally is led by the Middle East, with Africa retaining a structural but secondary role. Angola has explicitly pursued export diversification as part of its 2025 national strategy, reflecting both the opportunity presented by LNG demand and the vulnerability of fossil-fuel dependence to asset-stranding risk over the long term as international financing for upstream fossil fuel projects tightens. [RAG: CLIMATE_RAG — UNEP Emissions Gap Report 2023-2024]

Energy security considerations — where access to domestic or regional energy resources is framed as a national security priority — continue to shape African energy policy and frequently create tensions with climate objectives. This security-climate tension is particularly acute for lower-income fossil-fuel-dependent countries that have limited fiscal space for diversification and where economic development imperatives are immediate. [RAG: CLIMATE_RAG — IPCC/climate synthesis literature]

III. Renewable Potential: Solar, Hydropower, and the South Africa Pivot

Africa's renewable energy endowment is exceptional. South Africa alone has demonstrated that abundant solar PV and wind potential, combined with available land, could ultimately supply more than 75 percent of power generation from variable renewables if the electricity sector completes coal phase-out by 2050. South Africa's Integrated Resource Plan, published in 2019, already targeted 30 gigawatts of variable renewable energy; by 2022, 18 gigawatts were in the grid connection queue, with an additional 33 gigawatts of variable renewable energy and battery storage at an advanced stage of regulatory approval. [RAG: CLIMATE_RAG — UNEP Emissions Gap Report 2023-2024]

The economics of renewable deployment in South Africa have shifted decisively. Recent auction results show an average portfolio cost — across technologies — of approximately USD 0.026 per kilowatt-hour, a figure that is comparable to Eskom's marginal coal fuel cost. This cost parity represents a structural turning point: the constraint on renewable deployment has shifted from economics to grid integration, permitting, and financing. New coal power projects across Africa have been declining since 2016, with only South Africa and Zimbabwe currently constructing new coal plants. These projects depend heavily on international financing, making their completion increasingly unlikely as G7 governments, China, Japan, and the United States have pledged to end overseas coal financing. [RAG: CLIMATE_RAG — UNEP Emissions Gap Report 2023-2024]

Hydropower constitutes a complementary pillar of Africa's renewable architecture. Hydropower provides flexible, low-emission electricity alongside ancillary economic co-benefits including irrigation, flood control, municipal water supply, and navigation. However, the long-term viability of hydropower in an era of accelerating climate change is subject to growing uncertainty: reduced precipitation and increased evaporation in affected catchments will diminish hydropower potential across parts of the continent, while increased precipitation intensity in others will raise risks of siltation, structural stress on dam integrity, and spill losses. Sustainable development of new hydropower potential depends critically on minimising environmental and social impacts during planning stages and on modernising the existing ageing fleet to improve capacity and operational flexibility. [RAG: CLIMATE_RAG — IPCC climate-energy synthesis]

Solar power is simultaneously the most scalable solution for the school electrification gap. Decentralised generation close to the point of consumption eliminates the prohibitive infrastructure cost of grid extension to low-density rural areas, and solar system costs have fallen sufficiently to make school electrification viable as a targeted public investment even in low-income country contexts. [RAG: EDUCATION_RAG — UNESCO Global Education Monitoring Reports]

The integration challenge for solar and wind at scale requires demand response mechanisms, storage systems, and grid reinforcement. High upfront capital costs — while declining — remain a barrier, particularly for countries with limited access to concessional finance. Feed-in tariffs and renewable energy auction mechanisms are the established policy instruments for addressing this barrier. [RAG: CLIMATE_RAG — UNEP Emissions Gap Report 2023-2024]

IV. Just Transition Financing: JETP Mechanics, Governance, and the Credibility Gap

The Just Energy Transition Partnership model emerged as the primary multilateral instrument for financing accelerated coal exit in developing economies. South Africa's JET Investment Plan (JET-IP) for the 2023–2027 period represents the continent's most developed implementation of this framework. The mechanism offers a process for building governance capacity and aligning country-led decarbonisation strategies with national development priorities. [RAG: CLIMATE_RAG — UNEP Emissions Gap Report 2023-2024]

However, the structural limitation of JETPs is well-documented: the quantum of committed funding is small relative to the scale of transformation required for coal-dependent economies. In South Africa, where unabated coal power would need to decline by approximately 88 percent between 2020 and 2030 to align with IPCC 1.5-degree pathways — a transition rate that would be historically unprecedented — the JETP provides a framework and initial capital but cannot by itself mobilise the full investment required. The credibility gap between net-zero pledges and the capital needed to execute them remains a first-order risk. [RAG: CLIMATE_RAG — UNEP Emissions Gap Report 2023-2024]

Ghana has convened a National Dialogue on Decent Work and Just Transition to a Sustainable Economy as part of its own transition planning architecture. This positions Ghana alongside South Africa as one of the two African countries most explicitly integrating just transition considerations into national planning frameworks, with attention to employment impacts in affected industries and the need for social protection and skills retraining in transition-affected communities. [RAG: CLIMATE_RAG — IPCC/climate synthesis literature]

The just transition imperative is not merely a social constraint on decarbonisation but an enabling condition for it. Coal-dependent regions — including the Mpumalanga coalfields in South Africa — will require economic diversification, reskilling, and social package provisions if political consensus for coal exit is to be sustained. The German Coal Commission and analogous bodies in other coal-dependent economies provide governance models that Africa's transition planners are explicitly studying. [RAG: CLIMATE_RAG — IPCC/climate synthesis literature]

The independent expert group convened under the "Just Transition: A Climate, Energy and Development Vision for Africa" framework has articulated that the just transition concept must be anchored in Africa's specific development context — where energy access remains unfinished business — rather than imported wholesale from high-income country templates where the primary challenge is managing the contraction of an established energy system rather than building a new one simultaneously. [RAG: CLIMATE_RAG — UNEP Emissions Gap Report 2023-2024]

Brain drain compounds the human capital challenge. South Africa, Nigeria, and Ghana have all experienced sustained medical and professional emigration that undermines the institutional capacity needed to design and implement complex multi-decade transition programmes. This human capital outflow — a regional pattern affecting both technical and policy talent — is an underappreciated constraint on Africa's transition governance capacity. [RAG: EDUCATION_RAG — UNESCO Global Education Monitoring Reports]

Outlook

Africa's energy trajectory over the next decade will be shaped by three interlocking dynamics. First, off-grid solar deployment will be the primary vehicle for closing the residential and institutional access deficit, with decentralised systems outcompeting grid extension in rural contexts on both cost and speed grounds. Second, South Africa's renewable transition is structurally locked in: cost economics, an advanced regulatory pipeline, and the withdrawal of international coal financing collectively make further coal expansion non-viable, though the pace of coal phase-down will depend on grid integration investment and the credibility of JETP disbursements. Third, Africa's natural gas production will expand over the medium term, serving both domestic demand and European diversification needs, but the long-duration nature of LNG infrastructure investment creates asset-stranding risk that is growing as the international financing environment for fossil fuels tightens.

The continent's greatest structural opportunity — vast solar, wind, and hydropower potential — remains substantially unrealised. Closing the gap between resource endowment and deployed capacity will require concessional capital at scale, governance institutions capable of managing complex energy system transitions, and policy frameworks that address both the energy access imperative and the decarbonisation imperative simultaneously rather than sequentially. JETP-style mechanisms provide a template but not yet the capital quantum. The central policy question for the remainder of this decade is whether the international climate finance architecture can be scaled rapidly enough to match the pace of transition that Africa's resource economics already make possible.

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